

Project Initialization and Planning Phase

Date	02 July 2026
Team ID	
Project Name	Credit Card Approval Prediction
Maximum Marks	3 Marks

Define Problem Statements (Customer Problem Statement Template):

Introduction

The **Credit Card Approval Prediction using Machine Learning** project aims to simplify and improve the credit card approval process by predicting whether an applicant is likely to be approved based on their financial, personal, and demographic information. Traditional credit card approval methods involve manual verification and analysis of multiple factors, making the process time-consuming and susceptible to human error. By leveraging machine learning techniques, the proposed system assists financial institutions in making faster, more consistent, and data-driven decisions while reducing operational effort.

To understand the needs of different stakeholders, customer problem statements are prepared. These problem statements help identify the challenges faced by customers, bank officials, and financial institutions during the credit card approval process. Understanding these challenges enables the development of a solution that addresses user needs effectively and improves the overall decision-making process.

Problem Statement (PS)	I am (Customer)	I'm trying to	But	Because	Which makes me feel
PS-1	A customer applying for a credit card.	Check whether my credit card application is likely to be approved.	I don't know if I meet the bank's approval criteria.	Banks evaluate many financial and personal factors that are difficult to understand.	Uncertain and anxious about my application outcome.
PS-2	A bank loan/credit officer.	Evaluate credit card applications quickly and accurately.	Reviewing every application manually takes time and may lead to inconsistent decisions.	Large numbers of applications are received every day.	Overloaded and concerned about maintaining accuracy.
PS-3	A financial institution.	Reduce the risk of approving applications from customers who may default.	Identifying high-risk applicants using only manual methods is challenging.	Creditworthiness depends on multiple financial and demographic factors.	Concerned about financial losses and maintaining a healthy credit portfolio.